(iii) Angle made by any tangent to the supply curve with respect to positive direction of x – axis is always an acute angle.

(iv) Slope of the supply curve is positive (+ve).

DO YOU KNOW?

The law of demand / supply tells us the direction of change, but not the rate at which the change takes place.

Equilibrium Price

The price at which the demand for a commodity is equal to its supply is called as Equilibrium Price and is denoted by p_E.

Equilibrium Quantity

The quantity at which the demand for a commodity is equal to its supply is called as Equilibrium Quantity and is denoted by x_E.

NOTE

Usually the demand and supply functions are expressed as x in terms of p, so the equilibrium quantity is obtained either from the demand function (or) from the supply function by substituting the equilibrium price.

Equilibrium Point

The point of intersection of the demand and supply function (p_E, x_E) is called as equilibrium point.

Diagrammatical explanation of equilibrium price, equilibrium quantity and equilibrium point

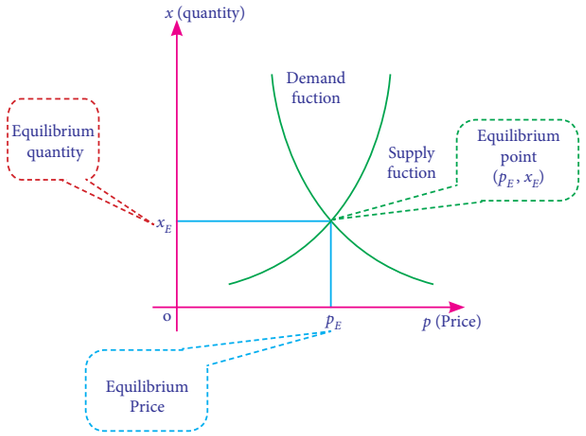


Fig: 6.3

Average and Marginal concepts

Usually, the variation in the dependent quantity 'y' with respect to the independent quantity 'x' can be described in terms of two concepts namely

(i) Average concept and
(ii) Marginal concept.

(i) Average concept

The average concept expressed as the variation of y over a whole range of x and is denoted by $\frac{y}{x}$.

(ii) Marginal concept

The marginal concept expressed as the instantaneous rate of change of y with respect to x and is denoted by $\frac{dy}{dx}$.

Remark:

If Δx be the small change in x and Δy be the corresponding change in y of the function $y=f(x)$, then

$$\frac{\Delta y}{\Delta x} = \frac{f\left(x+\Delta x\right) - f\left(x\right)}{\Delta x}$$

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